

PHOTO BY MANDAR DEODHAR



STAYING CONSERVATIVE Bharat K. Sheth, Deputy Chairman & Managing Director, The Great Eastern Shipping Co. Ltd

The approach to cash is also interesting. To survive a Black Swan event, there is cash that will never be touched, and that is the first bucket. The second is to extend the runway, and the third is “to take advantage of blood on the streets”. To Sheth, the present moment is critical, and being debt-free is also about investing wisely and needing that big opportunity. “There are too many moving parts in our industry, and on a global scale, we are still at the mid-level. It is necessary for us to be at the table with the big boys, and with 85% of our revenue coming from outside India, we want to sail with them.”

In the business it operates in, there is the option of

➤ Key Highlights

- ❶ A complete relook at the risk model has worked well for the company
- ❷ The Lehman crisis in 2008 reoriented the company’s outlook and reducing debt was a priority
- ❸ By 2016, when asset values dropped, Great Eastern was in a good position to buy
- ❹ Great Eastern was established in 1948 and has a fleet size of 42 ships today

taking the balance sheet risk or the operational risk. “With a balance sheet in control, I can take an operational risk. While I have the cash today, a sudden spike in oil prices could change everything,” emphasises Sheth. The other business of Great Eastern is Greatship (India), a player in offshore oilfield services, which is today “almost net debt-free”.

According to Vinit Bolinjar, Head (Research) at Ventura Securities, Great Eastern understands the shipping cycle very well. “They get it well on asset flipping and manage to buy at low prices and sell at high prices. Now, with a turnaround in the oil industry, the rig business will do well,” he says. He says the company is risk-averse when it comes to debt, and a long-term charter approach results in good cash flows. “They have a healthy mix, with the spot rates helping in the short term.”

For Sheth, risks are a part of the business. “Look at what is going on in the Red Sea, and it is not easy to mitigate it,” he says. The focus of Great Eastern has been on superior capital allocation. Be it buying bulk carriers, tankers or even buying back its own shares. “Along with the right capital allocation, keeping the balance sheet light also helps us take greater operational leverage and this has worked well for us over the last few years,” says Sheth.

Clearly, there is merit in getting the basics right. **BT**

@krishnagopalan